Higher National Diploma in Accountancy
First Year – Second Semester Examination - 2021
DA1213 – Financial Accounting (II)

Instructions for Candidates	**Time: Three (3) hours**
	No of questions: 06
Answer five (05) questions including 1 and 2	**No of Pages: 09**

Question No- 01

1) Define the following terms according to LKAS 37
   a. Provisions
   b. Contingent Assets **(02 Marks)**
2) What are the two main parts of total comprehensive income as per LKAS 01 **(01 Marks)**
3) State two (02) items that could be considered as cash and cash equivalents as per the LKAS 07-Statement of Cash Flows. **(01 Marks)**
4) Each of the following events occurred after the reporting date of 31st March 2021 but before the financial statements were authorised for issue. Classify the following events as adjusting events or non-adjusting events as per LKAS 10 events after the reporting period.
   (1) The company declared dividends to ordinary shareholders.
   (2) Sale of inventories at a price lower than the cost.
   (3) Bankruptcy of a customer.
   (4) The destruction of a major production plant by a fire. **(04 Marks)**
5) A Company estimates that it needs to increase the provision for bad debts from 2% to 5% of accounting receivables. The accounting receivable balance is Rs. 200,000, indicate the adjustment needed for the provision for bad debts. **(02 Marks)**
6) The following information has been given in relation to SRL Ltd. for the year ended 31st March 2021.

   The company has reviewed the useful life of Plant and Machinery on 01st April 2020. As per the review it was decided to change the useful life time of the Plant and Machinery

Plant

3-8 6years.

from 3 years to 8 years from 01st April 2021. Cost and accumulated depreciation of Plant and Machinery as at 01st April 2021 were Rs.8, 000,000/- and Rs.3, 200, 000/- respectively. You are required to:

Explain the accounting treatment for the year ended 31st March 2021 for the above instance as per the LKAS 8 - Accounting Policies, Changes in Accounting Estimates and Errors.

(03 Marks)

7) On 1st March 2021, a company called application for 20 000 ordinary shares at Rs.25 per share. Applications were received for 25 000 shares and shares were allotted on pro-rate basis on 31.03.2021. The excess cash was returned to the applicants.

Write the journal entries in the books of account. **(03 Marks)**

8) Atugalpura PLC Statement of Financial Position as at 01.01.2021

100 x50

	Rs' 000	
Stated Capital Ordinary Shares (100 000)		5 000
Revaluation Reserves	1 000	
General Reserves	600	
Retained Earnings	2 500	4 100

Board of directors made following decisions.

a. Capitalization of reserves by issuing ordinary shares for existing ordinary shareholders at 4 : 1 ratio for a consideration of Rs. 50 /-

b. Right issue for a consideration of Rs. 60 for the ordinary shares available before the reserve capitalization at a ratio of 5 : 1

Write the journal entries to record above transactions **(04 Marks)**

(Total 20 Marks)

Question No- 02

1/4/20 — 31/3/21.

The Trial Balance of Maneesh Ltd. as at 31st March 2021 is as follows:

	Dr. (Rs.)	Cr. (Rs.)
Stated Capital (1,000,000 Ordinary Shares)		30,000,000
Retained Earnings as at 01st April 2020	2,236,000	
Property, Plant and Equipment at Cost:		
Land & Building (Land Value - Rs.15 million)	30,000,000	
Motor Vehicles	6,400,000	
Office Equipment	5,550,000	
Accumulated Depreciation as at 01st April 2020:		
Building		2,000,000

land build M/V OFE/EQ.

30 000 000
15 000 land

Motor Vehicles		2,500,000
Office Equipment		2,020,000
Inventory as at 31st March 2021 at Cost	2,547,000	
Cash at Bank	774,000	
Trade Receivables / Trade Payables	6,057,000	3,811,000
15% Bank Loan		4,650,000
Cost of Sales /Sales	17,455,000	32,485,000
Office Rent Paid	235,000	
Fuel Expenses	950,000	
Advertising and Marketing Expenses	1,120,000	
Sales Commission Expenses	860,000	
Water and Electricity	732,000	
Office Maintenance Expenses	525,000	
Salaries, EPF and ETF	1,000,000	
Bank Charges	45,000	
Debenture interest	61,000	
Bank Loan Interest	600,000	
Other Administration Expenses (125)	830,000	
12% Debentures		850,000
Income Tax Provision for the year 2019/20		55,000
Allowance for Trade Receivables as at 01st April 2020		220,000
Income Tax Paid	625,000	
EPF and ETF Payable		11,000
	78,602,000	**78,602,000**

The following additional information is also provided:

1) Net realizable value of inventory as at 31st March 2021 was Rs.2, 500,000/-.

2) One of the company's vehicles, purchased on 1st January 2019 for Rs.3, 500,000/- was sold on 31st December 2020 for Rs.1, 600,000/- and the sale proceed has been credited to Motor Vehicle Account. Other than this, no entries were recorded in the books of accounts regarding the disposal of motor vehicle.

3) As at 31st March 2021, the company first time revalued its land for Rs.17, 500, 000/- and it is not recorded in the books of accounts.

4) Property, Plant and Equipment are to be depreciated on the straight-line method at cost and the useful life of Property, Plant and Equipment is as follows:

Building 25 years

Motor Vehicles 4 years

Office Equipment 5 years

235 Paid.

5) Monthly office rent is Rs.15, 000/-. As at 31st March 2021, the company had paid three months' rent in advance and interim dividend paid amounting to Rs.125,000 is shown under the Administrative cost.

6) The income tax paid includes a payment of Rs.50, 000/- for the year of assessment 2019/20. The income tax for the year of assessment 2020/21 was estimated as Rs.700,000/ tax Paid 625 (50) 575

7) During the year, the company has recovered Rs.157, 000/- from a debtor who had been written-off as a bad debt in the previous year and this amount was credited to trade receivables account. Further, a general provision of 5% has to be made from the trade receivables balance as at 31st March 2021.

8) The Board of Directors decided to transfer an amount of Rs.350, 000/- to General Reserve and proposed a final dividend of Rs.75,000 on 30.05.2021

9) The financial statements were authorized for issue by the Board of Directors on 10th June 2021.

You are required to:

Prepare the followings of Maneesh Ltd. for the publication purpose:

a) Statement of Comprehensive income for the year ended 31st March 2021.

b) statement of changes in equity for the year ended 31st March 2021.

c) Statement of Financial Position as at 31st March 2021.

d) Notes to the Financial statements

(Total 26 Marks)

Question No- 03 consigner stock 200 x 800 = 160 cr

A) On 01st January 2021, Amal Traders sent 200 packets of coffee on consignment basis to Vimal stores of Colombo costing Rs.800 each. The freight and other charges paid by Amal amounted to Rs.5, 400. Amal sent the documents through Bank and drew a bill of Rs.100, 000 and Vimal immediately accepted it. consigne

On March 15, Vimal sent Account sales (together with the amount due) showing that 150 Packets had realized Rs.1,000 each for cash sale and 25 packets Rs.1,100 each on credit sale. Vimal's expenses relating to consignment incurred on go down rent Rs.5, 000, on advertisement Rs.1,000 and on salesman salary Rs.2,000. Vimal is entitled to a general commission of 6% on sales in addition to 2% del-credere commission.

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On March 31 Vimal informed that 15 packets were damaged due to bad packing. All the debtors except one who owed Rs.3, 500 paid cash and the Vimal Stores remitted the amounts due on consignment.

stock. 200
sale (175)
25
damage (15)
ds 10

You are required to prepare,

a) Consignment Account

b) Consignee Account

c) Goods send on consignment Account in Amal traders. **(10 Marks)**

B) Arun and Arvind entered into a joint venture to buy and sell goods, and to share profits and Losses in the ratio 3:1. They opened a joint bank account to which Arun contributed Rs. 150,000 and Arvind contributed Rs. 100,000. They purchased goods for Rs. 74,000 for the joint venture. Arun supplied goods for Rs. 60,000, and Arvind paid for rent and sales expenses of Rs. 3000. They sold goods for Rs. 215,000. On closing the venture, the unsold goods were taken over by Arvind for Rs. 14,000. 3/4

You are required to prepare

(i) Join Venture Account

(ii) Joint Bank Account

(iii) Accounts of Arun and Arvind **(08 Marks)**

(Total 18 Marks)

Question No- 04

Ramesh, Suresh and Thinesh were sharing profits and losses at the ratio of 3:2:1 of their Partnership. Balance sheet as at March 31, 2021 was as follows:

Ramesh, Suresh and Thinesh Partnership Statement of

Financial Position as at 31st March 2021

	Rs.	Rs.
Assets		
Non-current Assets		
Land at Revaluation	250,000	250,000
Building at Revaluation	320,000	
Provision for Depreciation on Building	-140,000	180,000
Other Property, Plant and Equipment	640,000	
Depreciation on other PPE	-230,000	410,000
		840,000
Investments		190,000
Fixed Deposits		210,000
Current Assets		
Inventories	635,000	

Receivable Accounts	740,000	
Prepayments	70,000	
Cash and Cash Equivalents	235,000	1,680,000
Total Assets		**2,920,000**
Equity and Liabilities		
Capital Account-Ramesh	700,000	
-Suresh	500,000	
-Thinesh	150,000	1,350,000
Current Account-Ramesh	462,000	
-Suresh	-128,000	
-Thinesh	-154,000	180,000
Non - current Liabilities		
Bank Loan	580,000	
Mortgage Loan	450,000	1,030,000
Current – Liabilities		
Payable Accounts	290,000	
Accrued Expenses	70,000	360,000
Total Equity and Liabilities		**2,920,000**

The following additional information is given.

1. The partners have realised that the activities carried out by the partnership are not profitable and therefore they decided to dissolve the partnership at the earliest.
2. Mortgage loan has been taken from a finance company against the Land and Buildings of the partnership. At the time of the dissolution the partnership had to transfer the title of Land and Buildings to the lending finance company with an additional payment of Rs. 55,000/- to settle total capital outstanding of the Mortgage Loan Account.
3. An investment which costs Rs. 80,000/- was acquired by Ramesh for the value of Rs.90,000/-
4. Other assets of the company have been realised at the amount given below.

   Other Property, Plant and Equipment 360,000 Other Investments 65,000

   Cash collected from Prepayment balances 64,000 Inventories 530,000

   Cash Collected from Debtors 635,000 Fixed Deposits 240,000
5. When the bank loan was settled the partnership had to pay an additional interest amounting to Rs. 24,000/- which has not been provided in the books of accounts as at March 31, 2021. Creditors have settled fully after deducting 10% discount. It was revealed that Rs. 30,000/- of accrued expenses were merely an over provision in the books of accounts.
6. At the dissolution partnership paid Rs. 96,000/- as compensation to the employees. Further Rs. 23,000/- was paid as realisation expenses.

You are required to prepare relevant ledger accounts to close the books of the partnership.

(18 Marks)

Question No- 05

1) What are the principal forms of royalties? **(03 Marks)**
2) Naga Company is an established ore mining company in Rathnapura. The company leased a land in Ratnapura district owned by Mineral Industrial. Naga Company has agreed to pay royalty to Mineral Industrial based on the **unit of output** with the rate of Rs.15 per 100 kg of ore.

   Mineral Industrial has been guaranteed by Naga Company that they will receive a minimum rent of Rs.25, 000 per annum. Any short workings can be recouped in a period of 2 years after the occurrence of the short workings.

   Beginning in year 5, Mineral Industrial required to increase the minimum rent up to Rs.30, 000 per annum. Naga Company then agreed with the requirement.

   The followings are the relevant information of Naga Company's activities:

100kg → 15/-

Year ended 31st December	Sales (kg)	Stock on 31st December (kg)
2017	100,000	35,000
2018	160,000	40,500
2019	170,000	60,500
2020	185,000	54,000
2021	225,000	32,500

You are required to prepare the following accounts in the books of Naga company:

a) Royalty Account
b) Short Workings Account
c) Landlord Account **(15 Marks)**

(Total 18 Marks)

Question No- 06

A) The Statements of Financial Position of Gamini (Pvt) Ltd. as at 31st March 2021 and 31st March 2020 are given below:

Gamini (Pvt) Ltd. Statements of Financial Position (Rs.'000)

As at 31st March	2021	2020
Assets: Non-Current Assets:		

Property, Plant and Equipment	3,205	2,838
Accumulated Depreciation	(1,090)	(810)
Carrying Value	**2,115**	**2,028**
Current Assets:		
Inventories	1,520	1,920
Trade Receivables	1,320	905
Cash and Cash Equivalents	600	457
Total Assets:	**5,555**	**5310**
Equity and Liabilities:		
Equity:		
Stated Capital	1,000	1,000
Retained Earnings	1,560	820
Non-Current Liabilities:		
Long Term Loans	750	1200
Current Liabilities:		
Trade Payables	1675	1590
Short Term Loans	150	150
Interest Payable on loans	200	100
Income Tax Payable	220	450
Total Equity and Liabilities	**5,555**	**5,310**

The following additional information is also provided:

1. Income tax expenses for the year ended 31st March 2021 was Rs.110, 000/-.
2. A Motor vehicle was disposed on 01st April 2020. The cost of motor vehicle disposed was Rs.1, 200, 000/- and accumulated depreciation as at 01st April 2020 was Rs.650, 000/-. Profit on disposal of the motor vehicle was Rs.600,000/-.
3. Interest expense on loans for the year was Rs.120,000/-.
4. An interim dividend of Rs.200, 000/- has been paid for ordinary shareholders during the year.

You are required to:

Prepare the Statement of Cash Flows for Gamini (Pvt) Ltd. for the year ended 31st March 2021 using indirect method. **(10 Marks)**